

Appendix B

Options—Understanding the Basics²

There are two basic types of options: calls and puts. The purchase of a *call option* provides the buyer with the right—but not the obligation—to purchase the underlying item at a specified price, called the *strike* or *exercise* price, at any time up to and including the *expiration date*. A *put option* provides the buyer with the right—but not the obligation—to sell the underlying item at the strike price at any time prior to expiration. (Note, therefore, that buying a put is a *bearish* trade, while selling a put is a *bullish* trade.) The price of an option is called a *premium*. As an example of an option, an IBM April 210 call gives the purchaser the right to buy 100 shares of IBM at \$210 per share at any time during the life of the option.

The buyer of a call seeks to profit from an anticipated price rise by locking in a specified purchase price. The call buyer's maximum possible loss will be equal to the dollar amount of the premium paid for the option. This maximum loss would occur on an option held until expiration if the strike price was above the prevailing market price. For example, if IBM was trading at \$205 when the 210 option expired, the option would expire worthless. If at expiration, the price of the underlying market was above the strike price, the option would have some value and would hence be exercised. However, if the difference between the market price and the strike price was less than the premium paid for the option, the net result of the trade would still be a loss. In order for a call buyer to realize a net profit, the difference between the market price and the strike price would have to exceed the premium paid when the call was purchased (after adjusting for commission cost). The higher the market price, the greater the resulting profit.

The buyer of a put seeks to profit from an anticipated price decline by locking in a sales price. Like the call buyer, the maximum possible loss is limited to the dollar amount of the premium paid for the option. In the case